

fall. The work? My friend spends several hours a week poring over prospectuses, talking to brokers on the phone, and doing projections. Another friend moves part of his retirement stash in and out of foreign currencies. The risk? Currencies he buys may fall; currencies he sells may rise. The work? Because he buys and sells in nervous markets, he constantly feels under strain. His paperwork takes several hours a week. He reads economic reports, trade figures, and forecasts.

You'll have to decide how much risk makes sense for you. But bare-bones retirees need to have a special feeling about risk and financial security. I admit to being security-conscious. I insisted on arranging my affairs so that I'd never have to return to work. After I retired in 1984, economic factors turned against me. Interest rates fell, the value of the dollar fell, and the dollar cost of living in Argentina went up. Yet, in spite of the bad breaks, our net worth has increased by more than inflation. That's the advantage of "normal" retirement with \$400,000 or \$500,000 in the bank. Even if rates go against you, you can continue to live well and increase your net worth.

But if you retire with \$100,000 you'll have to find financial security in yourself, in your ability to innovate, rather than in a fistful of CDs. I think Vicki has the right attitude for bare-bones retirement. She shares none of my security hang-ups. She feels optimistic about all aspects of our lives, including finances. As I mentioned in chapter 4, she handles our investments and controls our spending, and she does it without worrying. She knows we can figure a way to deal with any financial problems that come up. We'll go back to work part-time, adopt a new investment strategy, move to a cheaper country, or whatever.